High-Yield Revision Sheet: The Indian Economy — 1947 to 1990

Subject: Indian Economic Development | NCERT Class 11 Ch. 1 & 2 | UPSC & State PSC Core

⚡ 30-Second Snapshot

- British colonial rule kept the Indian economy stagnant: real per capita output grew at under **0.5 percent annually**, traditional handicrafts were dismantled, and agricultural export surpluses were drained for colonial administration.
- At Independence, India adopted a **mixed economy** guided by the **Planning Commission (1950)**, balancing private property with state control over the **commanding heights**.
- Development policy centered on four core objectives: **Growth**, **Modernisation**, **Self-Reliance**, and **Equity**.
- The **Green Revolution** combined High Yielding Variety (HYV) seeds, public irrigation, and fertilizers to achieve national food self-sufficiency, though agricultural employment barely declined between 1950 and 1990.
- The **Industrial Policy Resolution of 1956 (IPR 1956)** classified industries into three schedules, using strict **industrial licensing** to steer private enterprise toward backward regions.
- Trade policy relied on **Import Substitution**, using high tariffs and quantitative quotas to protect domestic infant industries from foreign competition.

🏛 Colonial Legacies vs. Planned Development (1950–1990)

Structural Dimension	Colonial Baseline at Independence (1947)	Planned Policy Framework (1950–1990)	Long-Term Development Outcome
Macroeconomic System	Subordinated colonial economy focused on exporting raw materials and importing British finished goods.	Mixed economic model balancing private enterprise with public direction under Five Year Plans.	Public capital investments built basic heavy industry, though central controls created administrative delays.
Agricultural Structure	Stagnant agrarian sector burdened by the Zamindari system, high rural debt, and cash-crop coercion.	Abolished intermediaries (benefiting ~200 lakh tenants), introduced land ceilings, and launched the Green Revolution.	Achieved national food self-sufficiency, but workforce dependency remained stubbornly high (~65% in 1990).
Industrial Framework	Widespread de-industrialisation of handicrafts, limited cotton/jute mills, and virtually no capital goods plants.	IPR 1956 reserved basic industries for the state, mandated licensing, and protected small-scale units (Karve Committee).	Industry share of GDP expanded from 13% to 24.6%, diversifying output across engineering and chemicals.
External Trade Strategy	British trade monopoly; persistent export surpluses drained to cover colonial administrative and military charges.	Inward-looking Import Substitution protecting domestic producers via import tariffs and quantitative quotas.	Shielded infant domestic industries, but limited exposure to global competition reduced efficiency and innovation.
Social & Human Capital	Low human development: literacy under 16%, life expectancy of 32 years, and infant mortality at 218 per 1,000.	Constitutional commitment to equity, subsidized food security, expanded public universities, and state clinics.	Life expectancy and literacy improved, but access to high-quality rural schooling and healthcare remained uneven.

⚖ Policy Debates & Industrial Classification Mechanics

- **The Industrial Policy Resolution of 1956 (IPR 1956):**
  - **Schedule A:** Heavy industries reserved exclusively for state ownership (such as

defense, atomic energy, and railway transport).
    - **Schedule B:** Mixed industries where the state initiated new projects, supplemented by private investment (such as mining, machine tools, and fertilizers).
    - **Schedule C:** Residual consumer and light manufacturing open to private enterprise, regulated by licensing.
    - **Industrial Licensing Controls:** A license was mandatory to establish a factory, expand production capacity, or diversify products, ensuring private capital aligned with central planning targets.
- **The Agricultural Input Subsidy Debate:**
    - **The Case for Subsidies:** Essential to shield poor smallholders from yield risks and price volatility, enabling them to adopt costly HYV seeds and fertilizers.
    - **The Case Against Subsidies:** Heavy fiscal costs diverted public funds from rural infrastructure, benefited large farmers and chemical producers disproportionately, and encouraged excessive water pumping and chemical overuse.
- **Small-Scale Industry (SSI) Protections:**
    - Based on the **Karve Committee (1955)** recommendations, labor-intensive products were reserved exclusively for small producers to maximize employment and support regional dispersal.

⚠ Common UPSC Exam Traps

- **Trap 1 (Colonial Export Surplus Purpose):** India ran a persistent merchandise export surplus under colonial rule, but these funds did not build domestic reserves. They were drained to pay for British administrative costs, military expeditions, and overseas commercial remittances.
- **Trap 2 (Green Revolution Scope):** The initial phase of the Green Revolution (mid-1960s to mid-1970s) was not nationwide. It focused heavily on wheat in specific high-irrigation regions like Punjab, Haryana, and western Uttar Pradesh, expanding to other crops and states in its second phase.
- **Trap 3 (Import Substitution Levers):** Import substitution did not incentivize exports through cash bonuses. It was an inward-looking strategy that protected domestic infant firms from foreign competition using import tariffs and quotas.
- **Trap 4 (Workforce Shift Reality):** Although agriculture's share of national GDP declined substantially between 1950 and 1990, the share of the workforce employed in agriculture barely fell, dropping marginally from 67.5 percent to 64.9 percent.

🎯 High-Yield Facts Box

Parameter / Concept	Operational Benchmark	Historical & Governance Significance
Colonial Growth Trap	Per capita real growth ~0.5% annually	Highlighted five decades of economic stagnation prior to Independence.
Planning Commission	Established in 1950 (PM as Chairperson)	Served as the institutional hub directing economic development until 2014.
IPR 1956 Framework	Three-tier classification (Schedules A, B, C)	Defined public control over the commanding heights of Indian industry.
Marketed Surplus	Share of output sold in commercial markets	Structural indicator that stabilized urban food prices during the Green Revolution.
Karve Committee (1955)	Small-Scale Industries development	Promoted small, labor-intensive industrial units to absorb rural labor.

📝 Prelims Practice Challenge

Q1. Consider the following statements regarding the Industrial Policy Resolution of 1956 (IPR 1956):

1. It established three distinct categories of industries, reserving strategic heavy industries exclusively for state ownership.

2. Existing private firms were permitted to expand their production capacity or introduce new product lines without government licensing approval.
3. It provided tax concessions and subsidized electricity tariffs to encourage industrialists to set up units in economically backward regions.

Which of the statements given above are correct?

- (A) 1 and 2 only
- (B) 1 and 3 only
- (C) 2 and 3 only
- (D) 1, 2, and 3

> **Answer: (B) 1 and 3 only**
> **Explanation:** Statement 1 is correct because IPR 1956 created Schedules A, B, and C, placing heavy defense and basic transport under Schedule A for exclusive state development. Statement 2 is incorrect because industrial licensing was mandatory not only for new factories but also for expanding capacity or diversifying output. Statement 3 is correct because licensing preferences, tax breaks, and lower utility tariffs were deliberately used to promote industrial investment in backward areas.

Q2. With reference to the Indian economy between 1950 and 1990, consider the following statements:

1. The adoption of High Yielding Variety seeds during the Green Revolution eliminated the need for state agricultural input subsidies.
2. The inward-looking trade strategy of import substitution used protective tariffs and quantitative quotas to shelter domestic enterprises.
3. The proportion of the national workforce dependent on agriculture declined by over twenty percentage points during this four-decade period.

Which of the statements given above is/are correct?

- (A) 1 and 2 only
- (B) 2 only
- (C) 2 and 3 only
- (D) 1, 2, and 3

> **Answer: (B) 2 only**
> **Explanation:** Statement 1 is incorrect because the government expanded subsidies on fertilizers, power, and credit to help smallholders adopt the capital-intensive HYV package. Statement 2 is correct because import substitution relied on tariffs and quotas to protect infant domestic industries from foreign imports. Statement 3 is incorrect because agricultural employment was remarkably rigid, declining only slightly from 67.5 percent in 1950 to 64.9 percent in 1990.

✏️ Mains Practice Question (10 Marks / 150 Words)

Question: *"The inward-looking development strategy followed by India between 1950 and 1990 succeeded in diversifying the industrial base but created structural inefficiencies." Critically evaluate this statement.*

💡 Structured Answer Framework:

- **Introduction (25–30 words):**
  Between 1950 and 1990, India pursued a mixed-economy model focused on import substitution, industrial licensing, and state control over basic heavy industries to build domestic economic self-reliance.
- **Body Arguments (80–90 words):**
  - *Industrial Diversification Successes:* Industrial output grew at roughly 6 percent annually, raising industry's share of GDP from 13 percent to 24.6 percent. India built self-sufficient domestic manufacturing capacity across steel, heavy machinery, basic chemicals, and pharmaceuticals.
  - *Protection of Small Producers:* Reserving products for small-scale industries and establishing public enterprises created industrial clusters outside major metropolitan centers.

- *Structural Inefficiencies:* Heavy tariff walls and quotas shielded domestic firms from foreign competition, reducing incentives for technological innovation, quality improvement, and cost control.
- *Administrative Bottlenecks:* The licensing regime generated extensive bureaucratic red tape, encouraged rent-seeking, and delayed capacity expansions, creating an economy of persistent shortages.

- **Conclusion / Way Forward (25–30 words):**
  While early planning successfully established a diversified industrial foundation, the resulting inefficiencies highlighted the need for the comprehensive trade, industrial, and market-oriented reforms introduced in 1991.

✍ Notes & Updates